



CSOC [cybersecurity operations centre] services, which can add to the overall cost.

Moreover, data centre operators offer a range of services that go beyond just providing space for servers. These services are tailored to meet the specific requirements of each enterprise and the cost is usually determined on a case-by-case basis. Since the cost of accessing these services depends on several factors, it is challenging to provide a standard cost to a customer.



How can individuals/start-ups opt for data centre services?

Start-ups should evaluate their IT requirements and find a partner that best suits their current data centre needs. As start-ups often

have limited access to capital, it is typically more cost-effective for them to utilise third-party data centre services rather than investing in their own infrastructure, upgrades and maintenance.



What is the return on investment in different models?

While building a data centre involves a significant upfront capital investment, one can expect a return only in the longer term. To tap into this potential, India is expected to witness a six-fold increase in data centre capacity to almost 5,000 MW over the next six years, with a total investment of around ₹1.50 lakh crore, according to ICRA. **BT**

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business operations and drive growth while benefitting from the scalability, reliability and security provided by data centre service providers.”

GROWTH DRIVERS

“Initially, data centres were seen as a necessity by large enterprises and institutions with huge data volumes or were driven by compliance mandates. As internet penetration improved at the customer end with broadband and mobile, a multitude of services that leveraged digital access came into being and gave rise to the world we see today,” explains Shekhar Sharma, CEO of NTT Global Data Centers & Cloud Infrastructure India and NTT Communications India, the leaders in India’s data centre business. Even on the enterprise side, the increased adoption of Cloud, AI, IoT and automation technologies is fuelling the demand for data centres. “Today, practically all public and private enterprises depend upon reliable, always-on data centre operations, whether owned or outsourced,” says Sharma.

Various factors have contributed to this boom. Starting from the early 2000s, it was boosted a decade later with the proliferation of e-commerce. The space saw another quantum jump when a few years later, hyperscalers such as AWS, Google, and Microsoft entered the market and placed orders of, say, 2,000 racks in a single instance. For a pure-play data centre player like NTT, it meant meeting its monthly target in a day.

The boom is partly driven by favourable regulatory

57



“By 2027, India’s data centre market is predicted to grow to \$10.09 billion [from \$4.35 billion in 2021]—a 132 per cent surge in just six years”

MANOJ PAUL
MANAGING DIRECTOR, EQUINIX INDIA